

Ch#4: The Marginal Revolution

Hutchison's analysis of reaction to politics:

Introduction:

Hutchison's analysis delves into the intricate relationship between economics and politics throughout history. He examines how economic theories have been influenced by political ideologies and events.

He analyzed the reaction to politics in the history of economics as follows ¹:

- Historist Reaction:

Hutchison wrote about the historist reaction in English political economy from 1870 to 1890, which involved a critical examination of classical economics and the rise of historical and inductive methods in economic analysis.

- The Politics and Philosophy of Economics:

Hutchison's book, "The Politics and Philosophy of Economics," explores the relationship between politics, philosophy, and economics, and how political and philosophical ideas have influenced economic thought throughout history.

- Economic Methodology:

Hutchison was critical of the methodology of economics, arguing that it was too abstract and removed from reality. He advocated for a more historical and inductive approach to economic analysis.

- Critique of Classical Economics:

Hutchison's work challenged the assumptions and methods of classical economics, and he argued that economic theory needed to be grounded in historical and empirical reality.

- Influence of Political and Philosophical Ideas:

Hutchison believed that political and philosophical ideas have played a significant role in shaping economic thought, and that economists need to be aware of these influences to develop a more nuanced understanding of economic phenomena.

Overall, his analysis provides a comprehensive understanding of how politics has played a crucial role in shaping the history of economics.

The Early Marginalist Dehomogenizing The Emphasis On Utility

Introduction:

Early marginalist economists, including William Stanley Jevons, Carl Menger, and Léon Walras, emerged in the late 19th century with a mission to refine classical economic theories and introduce new insights into consumer behavior and market dynamics.

Dehomogenizing the Emphasis on Utility:

These marginalist economists sought to dehomogenize the emphasis on utility, challenging the classical view that value is solely determined by the total utility of a good or service. Instead, they introduced the concept of marginal utility, emphasizing the additional satisfaction gained from consuming one more unit of a good. They dehomogenized the emphasis on utility by:

1. Introducing marginal utility:

They recognized that the utility of a good or service varies depending on the quantity consumed. Marginal utility diminishes as consumption increases.

2. Subjective value:

They emphasized that value is subjective and depends on individual preferences, rather than being determined by objective factors like labor input.

3. Opportunity cost:

They introduced the concept of opportunity cost, which considers the value of alternatives forgone when making economic choices.

4. Marginal analysis:

4. They applied marginal analysis to various economic problems, such as determining the optimal level of production and consumption.

5. Individual economic agents:

They focused on the economic decisions of individual agents, like consumers and firms, rather than aggregates like national wealth.

Subjective Nature of Value:

By highlighting the subjective nature of value, marginalist economists emphasized that value is determined by individuals' preferences and marginal utility. This departure from classical theories laid the groundwork for a more nuanced understanding of consumer behavior and market equilibrium.

Foundations of Modern Microeconomic Theory:

The emphasis on marginal utility and the subjective nature of value laid the foundations for modern microeconomic theory. Concepts such as consumer theory, demand theory, and marginal analysis were developed based on the insights provided by early marginalist economists.

Conclusion:

By dehomogenizing the emphasis on utility, the early marginalists laid the foundation for modern microeconomics, which examines the behavior of individual economic agents and the interactions among them.

Jevons- utilitarian Theory:

Background:

Jevons was influenced by the classical economists, particularly Jeremy Bentham and John Stuart Mill, who were key figures in utilitarianism. He was an economist who contributed significantly to the development of marginal analysis and the concept of utilitarianism.

Utility Theory:

Jevons extended utilitarian principles to economics by introducing the concept of utility. He argued that individuals make decisions based on maximizing their utility, or satisfaction, derived from consuming goods and services. This concept laid the groundwork for modern consumer theory and demand analysis.

. His utilitarian theory can be understood in the following points:

- General Utility:

Jevons believed that general utility or social welfare is the ultimate ethical value or good to be maximized.

- Hedonistic Version:

He endorsed a hedonistic version of utilitarianism, which holds that pleasure is the only intrinsic good.

- Maximizing Utility:

Jevons argued that economic agents aim to maximize their utility or satisfaction.

- Marginal Analysis:

He introduced marginal analysis, examining the additional costs and benefits of economic decisions.

- Subjective Value:

Jevons emphasized that value is subjective and depends on individual preferences.

- Opportunity Cost:

He introduced the concept of opportunity cost, considering the value of alternatives forgone when making economic choices.

- Economic and Global Utility:

Jevons identified two levels of utility: "economic" and "global." The latter is a broader concept, and the two might contradict each other.

- Social Reform:

Jevons applied utilitarian principles to social reform, advocating for a method similar to cost-benefit analysis to anticipate the outcomes of reforms.

- Linking Economics and Ethics:

Jevons established links between economics and ethics through Bentham's utilitarian calculus.

Law of Diminishing Marginal Utility:

One of Jevons' key contributions was the development of the law of diminishing marginal utility. He observed that as individuals consume more units of a good or service, the additional satisfaction (marginal utility) derived from each additional unit decreases. This law helps explain consumer behavior, as individuals allocate their resources to maximize their overall utility.

Theory of Exchange:

Jevons also applied utilitarian principles to the theory of exchange. He argued that voluntary exchange occurs when both parties expect to increase their utility by trading goods or services. This perspective provided a new framework for understanding market transactions and the determinants of prices.

Criticism and Legacy:

While Jevons made significant contributions to economics, his utilitarian approach and emphasis on subjective value were met with criticism. Some economists argued that utility is difficult to measure objectively and varies between individuals. Nonetheless,

Jevons' work laid the foundation for modern microeconomic theory, particularly in the areas of consumer behavior, demand analysis, and the subjective theory of value.

Menger –subjectivism and Unintended Consequences

Subjectivism in Economic Theory:

Menger, one of the founders of the Austrian School of Economics, introduced subjectivism as a fundamental principle in economic analysis. He argued that value is not intrinsic to goods or services but is instead determined by individuals' subjective preferences and evaluations. This departure from the classical labor theory of value revolutionized economic thought by emphasizing the importance of individual perceptions and preferences in shaping economic outcomes.

Menger's subjectivism extended to his theory of price formation. He posited that prices emerge from the interaction of supply and demand in markets, with each individual's subjective valuations influencing their willingness to buy or sell a good at a particular price. This subjective theory of value laid the groundwork for modern microeconomic analysis and provided a more realistic explanation of market prices and allocations.

Unintended Consequences:

Menger also explored the concept of unintended consequences in economic decision-making. He observed that individuals' actions often lead to outcomes that were not anticipated or intended. These unintended consequences can arise due to the complexity of human interactions, the limitations of knowledge and foresight, and the dynamic nature of markets.

For example, Menger noted that attempts to control prices or regulate markets can lead to unintended distortions and inefficiencies. Government interventions, such as price controls or subsidies, may initially aim to achieve certain objectives but can result in unintended consequences such as shortages, surpluses, or market distortions.

Similarly, Menger highlighted how innovations and technological advancements can have unintended consequences. While individuals may innovate with specific goals in mind, the broader implications of their actions may unfold unpredictably over time. These unintended consequences can have both positive and negative effects on society and the economy.

Conclusion:

Overall, Menger's subjectivism and insights into unintended consequences offer valuable perspectives for understanding economic behavior and the complexities of market interactions. They underscore the importance of recognizing the limitations of human knowledge and the unpredictable nature of economic outcomes.

Walras-general Equilibrium and Pareto

Intro:

Léon Walras was a pioneering economist known for his development of general equilibrium theory, which seeks to understand the simultaneous determination of prices and quantities in all markets within an economy.

General Equilibrium Theory:

- Walras' general equilibrium theory posits that a market economy will reach a state of equilibrium where all markets clear and there is no excess supply or demand for any good or service.

- Pareto's Contributions:

Pareto built upon Walras' work and expanded the general equilibrium theory. He is credited with developing the concept of Pareto optimality, which states that a market is in equilibrium when no individual can be made better off without making someone else worse off.

- Pareto's Improvements:

Pareto's work improved and expanded upon Walras' foundations. Pareto is considered to have made progress on Walras' ideas and developed the general equilibrium theory further .

- Connection between Walras and Pareto:

Walras and Pareto's work is closely connected, with Pareto building upon and expanding Walras' ideas. Their contributions to the general equilibrium theory have had a significant impact on modern economic thought .

- General Equilibrium Theory:

The general equilibrium theory, developed by Walras and Pareto, is a central concept in modern economics. It provides a framework for understanding how markets interact and how prices are determined .

Overall, Walras' contributions to general equilibrium theory laid the groundwork for understanding how decentralized market interactions lead to overall coordination and efficiency, while the concept of Pareto efficiency provides a benchmark for evaluating the allocative efficiency of economic systems.

The German Historical School and the Methodenstreit

The German Historical School and the Methodenstreit are connected as follows:

- Background:

The German Historical School, led by Gustav von Schmoller, contended that economists could develop new and better social laws from the collection and study of statistics and historical materials, and distrusted theories not derived from historical experience.

Key tenets of the German Historical School included:

Historical Method:

They believed that economic analysis should be grounded in historical research and empirical observation of real-world economic phenomena.

Cultural and Institutional Factors:

The German Historical School emphasized the influence of culture, institutions, and social structures on economic outcomes. They argued that economic behavior is shaped by historical context and national characteristics.

State Intervention:

Unlike classical economists who advocated laissez-faire policies, the German Historical School supported state intervention in the economy to address social and economic problems and promote national development.

The German Historical School had a significant impact on economic policy and the development of the social sciences in Germany and beyond. Its emphasis on historical context and institutional analysis influenced the establishment of modern economics as a social science.

- Methodenstreit:

The Methodenstreit was a controversy between the Austrian School and the German Historical School, which began in the 1880s and lasted for over a decade. The debate concerned the place of general theory in social science and the use of history in explaining the dynamics of human action.

- Menger's Criticism:

Carl Menger, the founder of the Austrian School, attacked Schmoller and the German Historical School in his 1883 book, "Investigations into the Method of the Social Sciences, with Special Reference to Political Economics."

- Consequences:

The Methodenstreit led to a hostile debate, and Schmoller declared that members of the "abstract" school were unfit to fill a teaching position in a German university. This led to the exclusion of adherents to Menger's doctrines from academic positions in Germany.

- Legacy:

The Methodenstreit led to the development of the Austrian School of economics, and the term "Austrian school of economics" came into existence as a result of the controversy.

Overall, the German Historical School and the Methodenstreit were pivotal in shaping the landscape of economic thought, highlighting the diversity of approaches within the discipline and the importance of methodological considerations in economic analysis.

